

Note how the consensus never gets the extremes. The consensus always forecasts a middle ground. The same general pattern of error holds for all kinds of forecasting, including forecasted earnings per share and market prices. The problem is, of course, that the extremes are where you make (or lose) a lot of money. Consensus forecasts aren't worth much, whether right or not.

	Consensus Forecast	Nonconsensus Forecast
Accurate	Average	Above Average
Not-Accurate	Average	Below Average

Finally, Howard Marks at Oaktree Capital once put together the following schematic, which makes things clear. It shows you the return you get from each type of forecast, based on whether it is accurate or not.

“Extraordinary performance comes only from correct non-consensus forecasts,” Marks writes. He uses the example of interest rates in 1978, which then stood at 8 percent. Most people thought they'd stay there. Bulls said they'd go to 9 percent; bears said they'd go to 7 percent. Marks says, “Most of the time rates would have been in that range and no one would have made much money. The big profits went to those who predicted 15% long bond yields. But where were those people? Extreme predictions are rarely right, but they're the ones that make you the big money.”

Ben Graham's greatest student was Warren Buffett — also a great ignorer of forecasts. In his 1994 shareholder letter, Buffett showed he had taken Graham's lesson to heart:

We will continue to ignore political and economic forecasts which are an expensive distraction for many investors and businessmen.

Thirty years ago, no one could have foreseen the huge expansion of the Vietnam War, wage and price controls, two oil shocks, the resignation of a president, the dissolution of the Soviet Union, a one-day drop in the Dow of 508 points, or treasury bill yields fluctuating between 2.8% and 17.4%. ... But, surprise — none of these blockbuster events made the slightest dent in Ben Graham's investment principles.